Avadel Update: Four Bites In, Jazz Is Now The Natural Final Buyer

The story of Avadel Pharmaceuticals has always centered on unlocking the value of a once-nightly oxybate therapy. From our initial work in Avadel: Mis-priced Leader in Once-Nightly Sleep Therapies through the subsequent Addendum, our view has been consistent: the market continues to underappreciate both the strategic value of Lumryz and the scarcity of assets capable of reshaping the oxybate landscape. The recent developments validate this framework and reinforce our conviction that Jazz will ultimately be the acquirer.

According to our sources, Jazz has already made four prior attempts to secure this asset. The first was shortly after the formulation of FT218, later branded Lumryz. Jazz learned that a once-nightly oxybate had been developed and attempted to offer $150 million and a royalty stream to acquire it, but was rebuffed. Project Zeta in 2015 was an effort to develop a cooperative agreement between Jazz and Avadel which ultimately fell apart. Following the collapse of Project Zeta Jazz moved to acquire, signing confidentiality agreements in 2020 and 2021. These facts are available in legal briefs from the Delaware courts, and the agreements constituted third and fourth bites. Now, with Avadel having settled for roughly ninety million dollars to push a deal over the finish line, we are watching to see if Jazz will take the whole apple.

Our earlier research highlighted the multi-billion-dollar market embedded in approximately 40,000 IH patients and 50,000 Narcolepsy patients who are uniquely addressable through Avadel's formulation. As we noted then, this opportunity alone justifies a premium valuation. The current bidding landscape demonstrates that strategic buyers agree. A buyer is acquiring not just a commercial asset but a multi-year earnings engine with optionality in future neurological indications.

Jazz has testified directly that a once-nightly formulation represents the holy grail in the oxybate space. Their operational and financial posture makes that statement more literal now than at any point in the past decade. Due to regulation complexities and tariff exposure Jazz has publicly stated their need for U.S. based manufacturing. Avadel solves that instantly, and comes with additional synergies of two hundred million dollars of cost savings and an estimated three dollars per share addition to next year's earnings. No other bidder can match that degree of instant accretion.

If Jazz does not move, they face a far more severe alternative. Once a competing bidder gains control of Lumryz, Jazz's sleep franchise risks losing seventy-five percent of its profits over the next two to three years. For Jazz, this process is not optional. It is existential.

Beyond Jazz, Harmony Biosciences has logical synergies but significantly less financial muscle. Takeda may gain up to one hundred fifty million dollars of cost savings but has shown unwillingness to pursue a full acquisition. Johnson & Johnson has recently realigned its business toward oncology and central nervous system disorders, creating a strategic opening in which a narcolepsy franchise would fit smoothly. Alkermes and Lundbeck appear more opportunistic than motivated. Evercore's modeling that Lundbeck could justify up to $37 per share and Alkermes up to $27 underscores the broad strategic interest, but it does not alter the fact that Jazz has the most to lose and the most to gain.

We also cannot ignore Avadel's internal dynamics. After the company issued weak 2025 guidance and the stock sold off, the CCO served as the fall person for the launch execution, resigning Dec 31st, 2024. The CEO was subsequently told that failing to turn around the business by year-end would result in replacement.

From a pure valuation standpoint, the numbers imply a materially higher takeout price than where the stock trades today. The peer-median revenue multiple already points to a transaction value over $34 per share, and that benchmark does not fully capture the scarcity value of a once-nightly oxybate franchise. A $2.4 billion dollar enterprise value implies roughly a 2x multiple on our peak-sales estimate of $1.2 billion dollars, a level typically reserved for mature, slow-growth assets rather than a high-margin neurological therapy with expanding penetration. Applying even a conservative 3-4x multiple yields an implied valuation range meaningfully above current expectations, reinforcing that any strategic buyer would be purchasing the asset at a discount relative to both peer comparables and intrinsic earnings power. These valuations come before even a dollar of value is ascribed to Valiloxybate, the once-nightly, salt-free, tasteless oxybate asset which is being offered up seemingly for free, and for which shareholders should be compensated.

With multisource generics entering January first, the regulatory and FTC pressure that complicated a Jazz acquisition is about to fall away. We are now inside the final stretch of the bid window with roughly nine days remaining for a formal proposal, and the next two weeks representing the decisive phase of the process.

Everything we have tracked over the past year converges on the same point. The once-nightly oxybate franchise remains mispriced. The strategic math heavily favors Jazz. The asset is immediately accretive for them in a way that no competitor can replicate, and Jazz has already shown us four times that they want this asset.

We continue to believe Jazz will bid, and that Jazz will be the ultimate buyer.